Retail Business Performance & Growth Strategy

Executive Decision Report & Capstone Presentation

RabTech Academy | Project 6
Simulated Retail Dataset | 2024–2025
Prepared for Mentor Evaluation

Executive Summary

- The 10,000 simulated transactions generated ₹3.31 crore in sales.
- Profit before overheads was ₹1.30 crore, with a 39.39% profit margin.
- Electronics led sales; Clothing generated the highest category profit.
- Beauty recorded the highest category profit margin at 49.55%.
- Sales declined 3.30% in 2025 compared with 2024.

Dataset & Methodology

Dataset & Analytical Methodology

- • **10,000** simulated retail transactions
- • 12 columns covering orders, products, prices, discounts, sales and costs
- • Date range: 1 January 2024 – 31 December 2025
- • Tool used: Python with Pandas, NumPy and Matplotlib

Analytical Process

- • Data validation and quality checks
- • KPI calculation and descriptive analysis
- • Category, regional, product and time-based comparisons
- • Discount analysis, visualizations and strategic recommendations

Business KPI Dashboard

TOTAL SALES ₹3.31 Cr	PROFIT* ₹1.30 Cr
TOTAL ORDERS 10,000	UNITS SOLD 21,097
PROFIT MARGIN* 39.39%	AVG. ORDER VALUE ₹3,310.77

- Average Discount: 7.87%
- Total Product Cost: ₹2.01 Cr

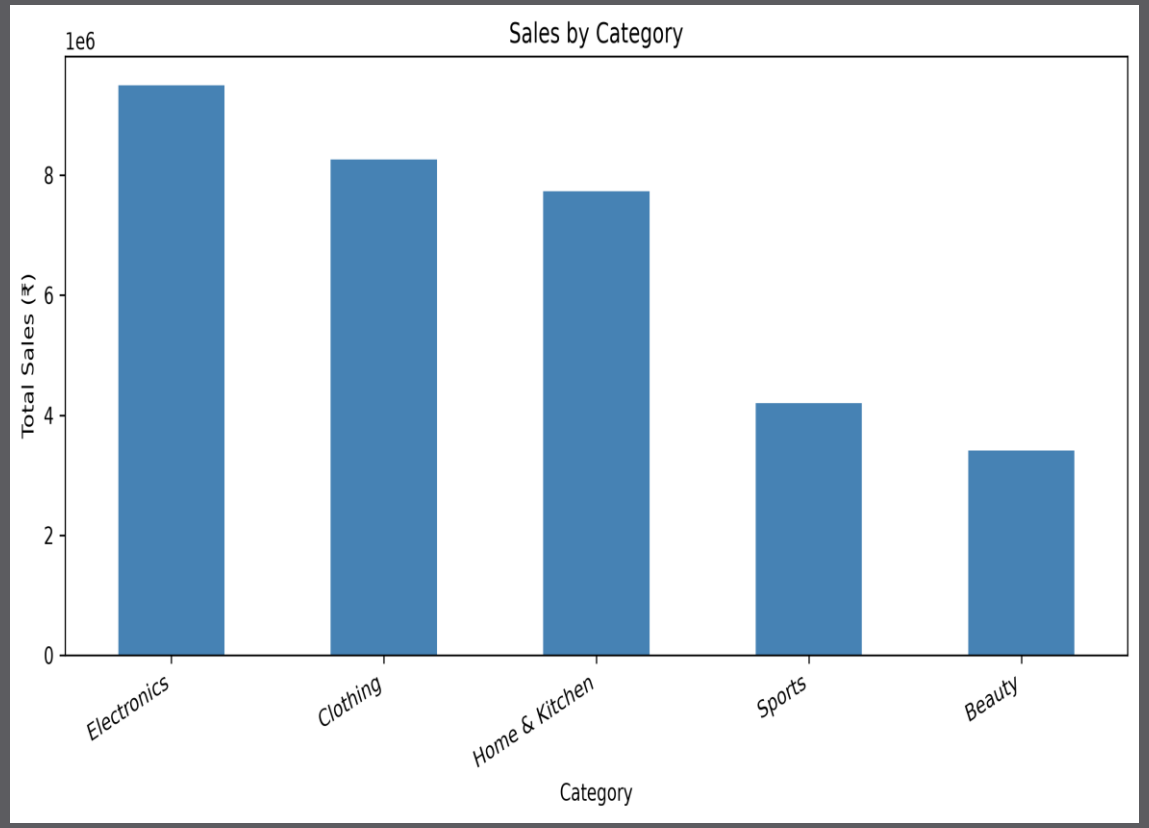
Category Performance: Sales vs Profit

Key Findings:

₹95.02L
Sales
Electronics Highest sales among all categories.

₹36.42L
Profit*
Clothing Highest total category profit.

49.55%
Margin*
Beauty Highest category profit margin, but lowest category sales.



Business implication: Protect Clothing's profit contribution and test targeted Beauty promotions to explore growth while monitoring its strong margin.

Regional Performance Analysis

₹79.74L

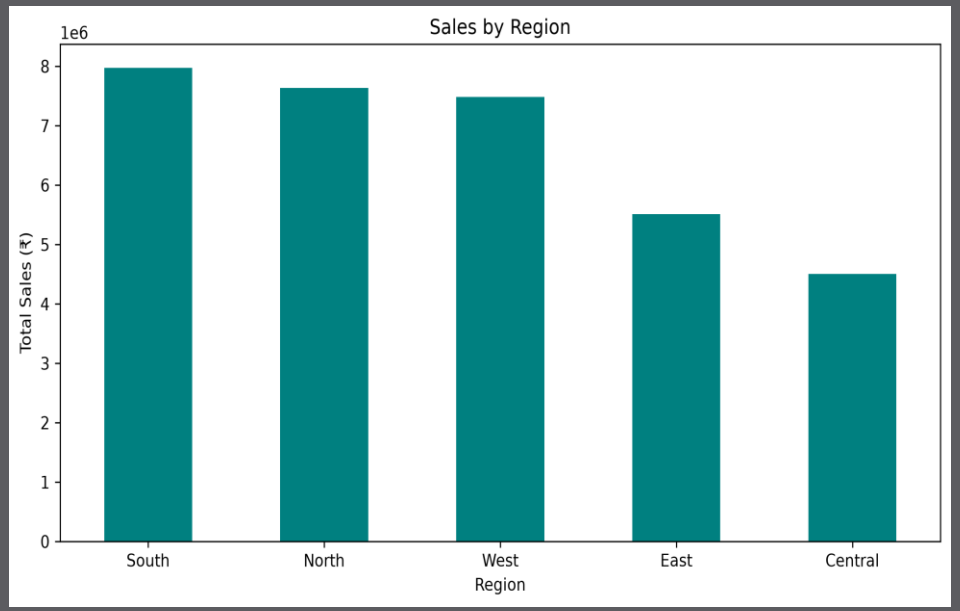
- Sales
- South — Top-performing region
- Highest regional sales and total profit.

39.78%

- Margin
- East — Highest margin
- Its margin is only slightly above the other regions.

₹45.04L

- Sales
- Central — Lowest sales
- Investigate sales opportunities before reallocating resources.



Business implication: Study what drives South's sales performance and investigate Central's sales gap before making investment decisions.

Monthly & Annual Sales Trends

2024 Sales

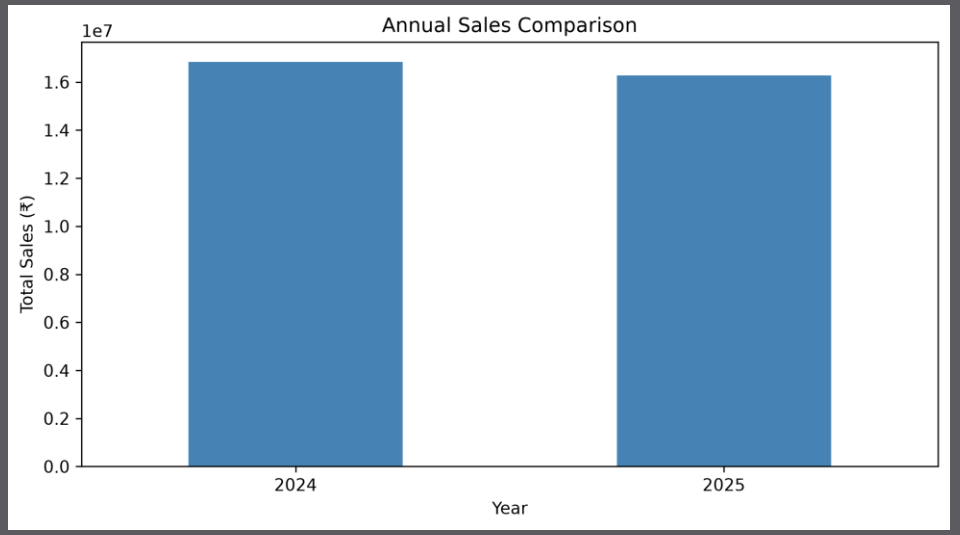
- **₹1.683 Cr**

2025 Sales

- **₹1.628 Cr**

Sales declined 3.30%

- Profit declined 2.95%, while the profit margin edged up from 39.32% to 39.47%.
- Monthly warning signals
- November sales fell 15.46% year over year.
- April sales fell 14.90% year over year.



Business implication: Investigate the months with the largest declines and monitor sales, order volume, and profit margin monthly.

Product Performance & Profitability

₹34.39L

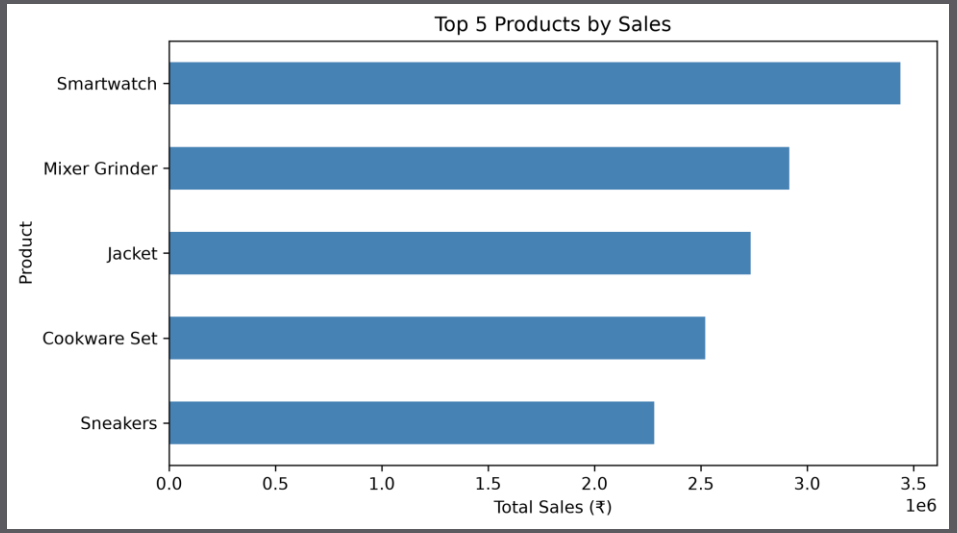
- Sales
- Smartwatch
- Highest product sales, but its profit margin is only 29.25%.

₹10.86L

- Profit*
- Jacket
- Highest product profit among the products analyzed.

49.02%

- Margin*
- Jeans
- Strong profit margin among the top five products by sales.



Business implication

Review Smartwatch supplier costs, pricing, and discount practices to improve profitability without unnecessarily sacrificing sales.

Discount & Profit Margin Analysis

- **44.02%**

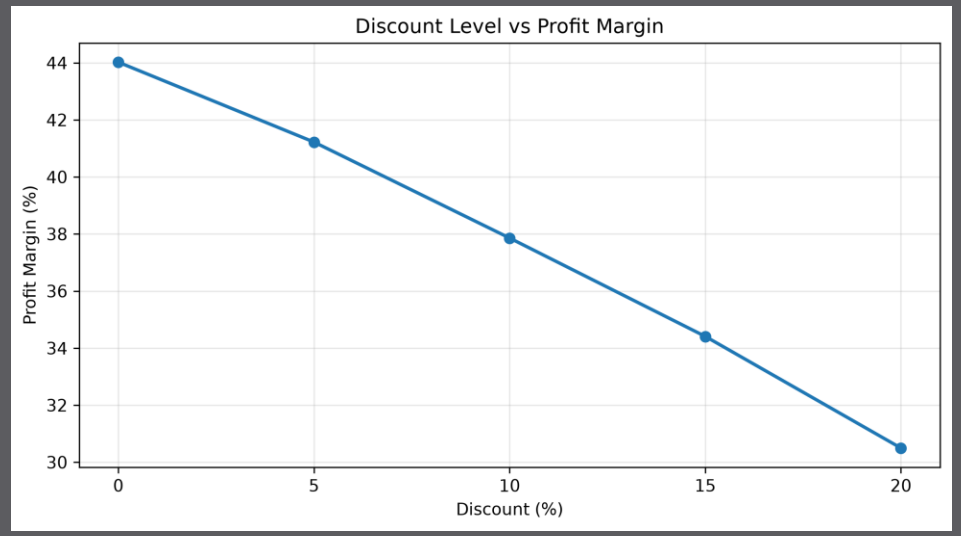
Margin at 0% discount

- **30.50%**

Margin at 20% discount

Key findings

- Profit margin decreases as discount levels increase in this dataset.
- Average order value also decreases as discount levels rise.
- Higher discounts should be evaluated against their contribution to profit, not just sales volume.



Business implication: Use targeted discounts and measure whether they generate enough additional sales to justify the lower margin.

Three Strategic Recommendations

1. Improve Smartwatch Profitability

- Review supplier costs, pricing, and discount levels.
- Pilot a 2 percentage-point margin improvement.
- Current margin: 29.25%.

2. Test Beauty Category Growth

- Run a small campaign or product-bundle test.
- Protect the category's strong 49.55% profit margin.
- Measure incremental sales and profit before expanding.

3. Strengthen Sales Monitoring

- Review sales, orders, profit margin, and campaign ROI monthly.
- Investigate the 2025 sales declines, particularly in April and November.
- Use a KPI dashboard to guide decisions.

Illustrative ROI Projections.

Initiative	Projected Profit Uplift	Investment	Net Benefit	ROI
Improve Smartwatch Margin	₹68,773	₹25,000	₹43,773	175.09%
Grow Beauty Sales	₹1,68,834	₹75,000	₹93,834	125.11%

- Smartwatch initiative: Highest projected ROI at 175.09%.
- Beauty initiative: Higher projected profit uplift of approximately ₹1.69 lakh.
- Decision: Strt with small, measurable pilots before committing to larger investments.

"Illustrative projections based on assumptions, not guaranteed outcomes. Profit uplift excludes any additional costs not included in the model."

90-Day Roadmap & Conclusion

Days 1–30 : DIAGNOSE

- Analyze & Prepare
- Review Smartwatch costs and profit margins.
- Establish Beauty category sales baselines.
- Define monthly KPI dashboard metrics.

Days 31–60: PILOT

- Test Strategies
- Pilot Smartwatch pricing or discount changes.
- Launch a limited Beauty campaign.
- Monitor sales and margins weekly.

Days 61–90: EVALUATE

- Measure & Decide
- Compare pilot results with the baseline.
- Calculate actual ROI and incremental profit.
- Scale, adjust, or stop each initiative based on evidence.

Recommended decision: Approve small, measurable pilot projects and expand only when real-world results support the projected benefits.

"Analysis uses simulated retail data. Profit figures exclude overheads; ROI projections are illustrative."